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Three scenarios for energy, central banks, rates and FX markets

How a prolonged disruption to Middle East energy flows could affect inflation, interest rates and currencies

With the world in flux, certainty is a rare commodity

Three scenarios for energy prices

Scenario	Length of disruption (% disruption to Strait of Hormuz flows) Mar	Apr	May	Jun	Jul	Aug	Oil supply lost (m barrels)	Brent forecast (USD/bbl) Q2	Q3	Q4	Gas supply lost (bcm)	TTF forecast (EUR/MWh) Q2	Q3	Q4
ING base 1	100	60	30	15	10	10	1138	96	93	88	28	55	45	45
Prolonged disruption 2	100	100	50	40	20	20	1754	110	102	100	38	74	60	60
Re-escalation 3	100	100	100	100	50	50	3635	135	150	120	58	90	75	80

Source: ING

Energy markets

Financial markets are taking a glass-half-full view on the Middle East crisis amid the ongoing ceasefire and reports of another round of negotiations between the US and Iran. But there are still plenty of ways this situation could play out.

In our refreshed base case, we're assuming that talks drag on, prompting renewed US pressure.

The American blockade of the Strait of Hormuz is a good example of this. But despite ongoing disruption, a deal is ultimately reached that enables more traffic to flow through the Strait as we head into summer. Our new forecasts are based on energy flows returning to 70% of normal through May and 90% by July. Remember that damage to energy infrastructure will hamper efforts to return fully to normal.

This scenario would see Brent Crude trading between US$90-100/bbl in the second and third quarters. TTF natural gas averages 55 EUR/MWh in the second quarter.

Alternatively, a scenario where prolonged disruption means flows return to only 60% of normal by the end of June, takes oil prices back above US$100/bbl and keeps them there for the remainder of 2026. Natural gas prices show further upside, too.

A more extreme situation, where talks collapse and a sustained military escalation ensues, keeps the Strait of Hormuz closed until the end of June, with only a steady recovery thereafter. Oil prices go as high as US$150/bbl in the third quarter.

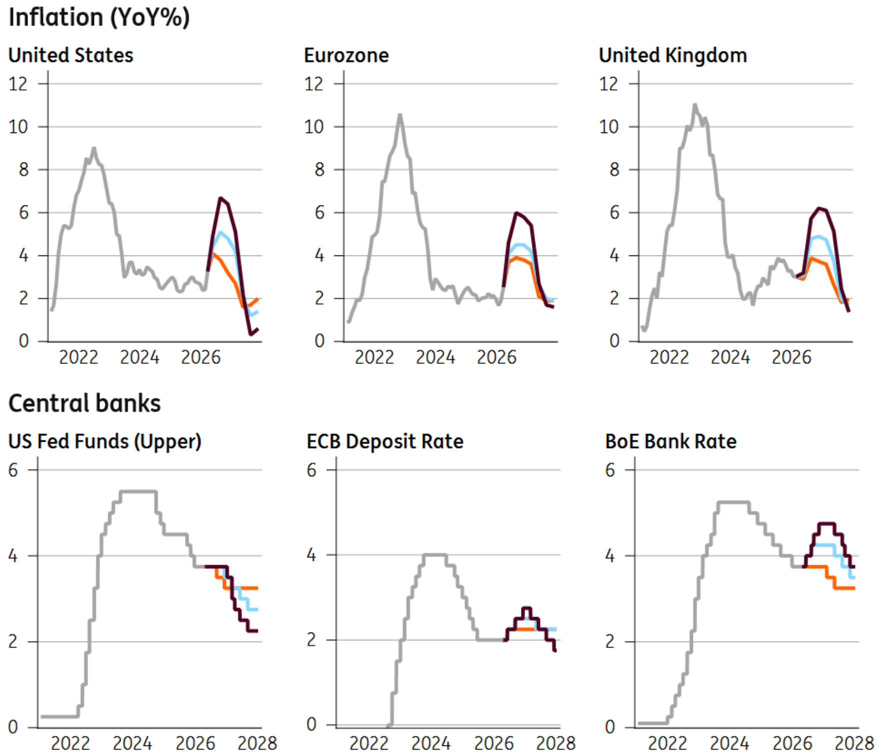
Central banks

Our new base case sees the European Central Bank hiking rates in June, though for now we think that's a one-off. While the threat of second-round effects on inflation is considerably less than in 2022, we think headline inflation at 4%, core inflation rising towards 3% and the optics of survey-based inflation expectations metrics surging, will tempt Frankfurt into some very limited tightening. The fact that we're assuming a material improvement in flows through the Strait of Hormuz by the time of the June meeting should prevent that from turning into a more aggressive tightening cycle.

That changes if the disruption lasts longer and prices spike higher. The supply chain impact will become more unpredictable and widespread. And as the central banks have highlighted, the secondary impact on inflation risks snowballing. Our most extreme scenario sees US, eurozone and UK inflation peaking at or above 6% this year. If that happens, we'd expect multiple ECB hikes, though we also think it would be swiftly reversed through 2027 as the inflation threat recedes.

In contrast, we don't expect rate hikes from the Fed in any of our scenarios, although an interest rate hike can't be ruled out if energy prices rise above our base case. This is a far narrower supply shock for the US than 2021/22 and there isn't the same demand impetus. Over the medium term, we think higher transport fuel prices are more likely to weaken growth and employment rather than lead to persistently higher inflation. So while our more adverse scenarios delay the timing of the next cut as the Fed weighs up the risk of second-round effects, ultimately we think the higher energy prices go, the deeper the rate cut cycle that eventually follows. As Middle East tensions subside and energy prices drop, we expect officials to increasingly focus on the jobs aspect of its dual mandate.

Three scenarios for central banks and inflation



Source: Macrobond, ING

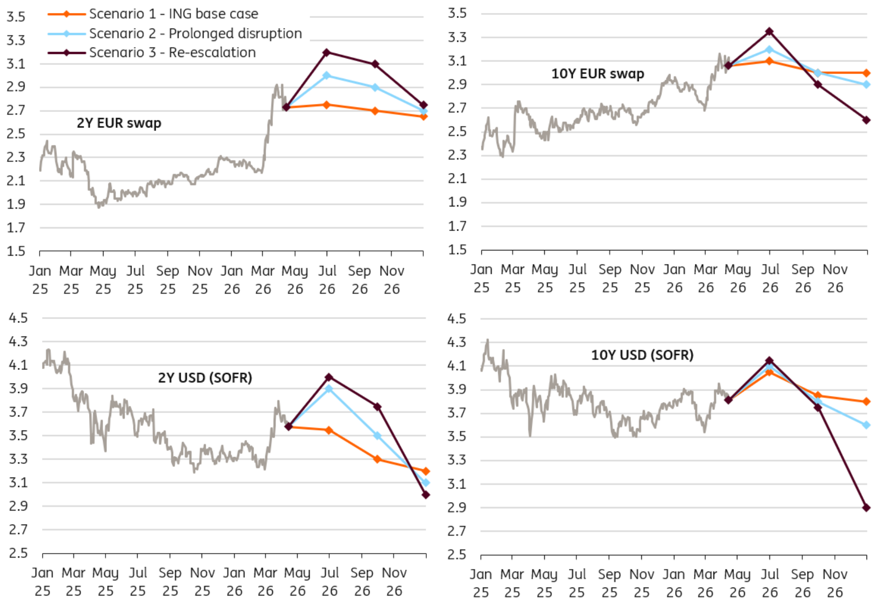
EUR and USD rates: Higher rates will struggle to hold over the medium-term

Euro rate markets are still positioned for more than two ECB hikes and seem willing to price in more if oil prices were to rise again. In the near term, that means markets could even get pushed towards four hikes, implying a 2Y swap rate moving well above 3%. For the higher oil price scenarios, we do, however, anticipate a sharp dovish shift as growth concerns start mounting towards the end of the year. That means markets would already start eyeing ECB cuts in 2027, pulling the 2Y rate even below current levels.

For 10Y euro rates, the initial reaction to higher oil prices will still be bearish, but the scope to go higher should be limited. Growth concerns on the back of tighter monetary policy and higher energy costs should start weighing on market sentiment. In effect, this starts pushing down longer-dated rates, also explaining the 2s10s curve inversion towards the end of 2026 in the worst outcome.

The outlook is similar for US rates, with the 2Y swap reaching 4% in the highest oil scenario. Also, 10Y rates can move materially higher in the near term, even in our baseline scenario, especially since market sentiment remains resilient. With inflation numbers coming in hot throughout 2026, that upward pressure on rates should hold. When markets turn more pessimistic on the growth outlook, however, the focus should shift from inflation to recession risks. In effect, this pushes down real rates, bringing 2Y and 10Y to levels below where we stand today.

Three scenarios for swap rates



Source: Macrobond, ING

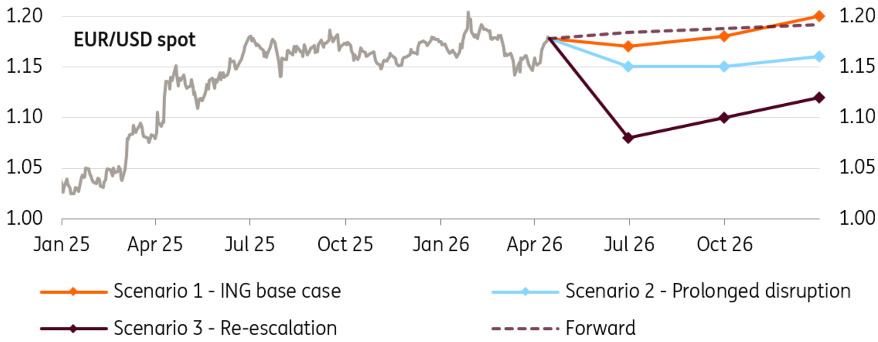
EUR/USD: Our baseline remains modestly bullish

Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. While we now embed one ECB hike into our forecast, market pricing remains more hawkish (55bp) and we have revised our oil forecast higher. The backbone of our bearish USD view into year end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front end rates.

If anything, risks sit on the upside relative to our 1.20 year end target, as the ECB might end up delivering two hikes after all and political uncertainty building into the November midterms could trigger more US specific dollar weakness. And if Republicans lose both houses of Congress, limits on Trump's ability to pursue new fiscal stimulus could reinforce structurally bearish views on the dollar.

In the shorter run, we see risks mildly tilted on the downside for EUR/USD, and we target 1.170 for the end of the second quarter. Markets have already leaned aggressively into the de escalation trade, while ECB expectations still look too hawkish. We expect no change at the 30 April meeting, followed by scope for dovish repricing.

Three scenarios for EUR/USD



Source: Refinitiv, ING

Return below 1.10 in EUR/USD in severe scenario

In our second scenario, we estimate that a moderate re escalation and longer oil supply disruptions will push EUR/USD back toward 1.15 for much of the remainder of the year. That level served as a key anchor in March, and under this scenario we would expect two ECB hikes and one Fed cut, broadly in line with current market pricing.

In the most severe scenario, the sensitivity of USD crosses to oil prices should rise sharply, relegating rate differentials to a secondary role. Average Brent prices in the US$135-150/bbl range would, in our view, be consistent with a move back below 1.10 in EUR/USD. That assumes an accompanying sharp deterioration in global risk sentiment, in a stagflationary environment where the Fed decides not to cut rates.

In numbers: Our three scenarios

	1 Base case			2 Prolonged disruption			3 Re-escalation		
	Q2	Q3	Q4	Q2	Q3	Q4	Q2	Q3	Q4
Brent Crude (USD/bbl)	96	93	88	110	102	100	135	150	120
Dutch TTF gas (EUR/MWh)	55	45	45	74	60	60	90	75	80
US Inflation (YoY%)	4.1	3.8	3.2	4.4	5.1	4.8	4.9	6.7	6.4
Eurozone Inflation (YoY%)	3.7	3.9	3.8	4.1	4.5	4.5	4.6	6.0	5.8
ECB Deposit Rate (%)	2.25	2.25	2.25	2.25	2.50	2.50	2.25	2.50	2.75
Fed Funds Rate (%)	3.75	3.50	3.25	3.75	3.75	3.50	3.75	3.75	3.75
2Y EUR swap rate (%)	2.75	2.70	2.65	3.00	2.90	2.70	3.20	3.10	2.75
10Y EUR swap rate (%)	3.10	3.00	3.00	3.20	3.00	2.90	3.35	2.90	2.60
2Y USD swap rate (%)	3.55	3.30	3.20	3.90	3.50	3.10	4.00	3.75	3.00
10Y USD swap rate (%)	4.05	3.85	3.80	4.10	3.80	3.60	4.15	3.75	2.90
EUR/USD	1.17	1.18	1.20	1.15	1.15	1.16	1.08	1.10	1.12

Source: ING

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Middle East escalation pushes aluminium into a structural deficit

Escalating supply disruptions across Gulf smelters have shifted the aluminium market from a logistics shock into a significant deficit, with limited near-term recovery and risks skewed to the upside

The aluminium market has moved into a significant deficit following further escalation in the Middle East

Supply shock deepens as Gulf smelters cut output

The aluminium market has moved into a significant deficit following further escalation in the Middle East. What initially appeared as a disruption to shipping and logistics has now evolved into a material supply shock, with multiple Gulf smelters operating well below capacity.

Recent developments include the halt of operations at Emirates Global Aluminium's Al Taweelah smelter, a sharp reduction in output at Aluminium Bahrain (Alba), and continued reduced operating rates at Qatalum.

While the Middle East accounts for roughly 9% of global aluminium production, it represents a much larger share of seaborne supply. As a result, disruptions in the region have a significant impact on market availability and pricing.

Disruptions have intensified significantly since our previous note. In mid-March, we estimated that around 560kt of annual capacity was affected, including roughly 300kt at Alba and 260kt at

Qatalum. With Alba now operating at around 30% of capacity and Qatalum at roughly 60%, the implied affected capacity has risen to around 3Mt – nearly half of the region's production.

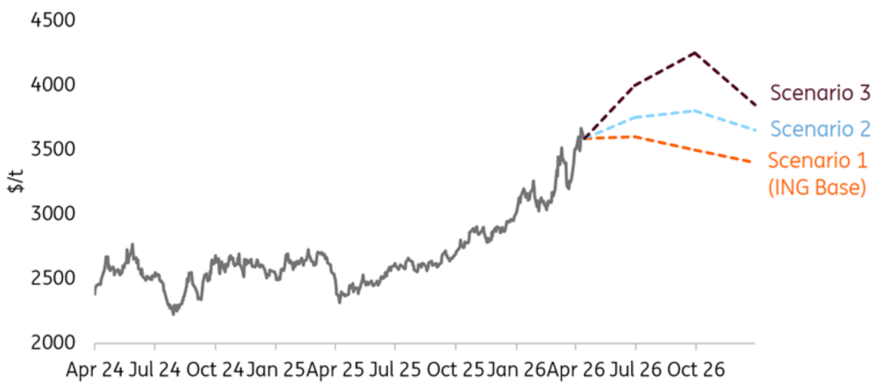
Based on current operating rates, the aluminium market would be in a deficit of close to 2.9Mt if disruptions persisted through the remainder of the year. However, at elevated prices, we expect demand destruction, destocking and a partial supply response from China to offset part of the supply shock, resulting in a base case deficit of around 2Mt.

Revised aluminium balance and price scenarios

Scenario	Length of disruption (% disruption to Strait of Hormuz flows)	Mar	Apr	May	Jun	Jul	Aug	Aluminium deficit	Aluminium forecast ($/t) Q2	Q3	Q4
ING base 1	Negotiations drag, prompting renewed US pressure, but deal eventually reached	100	60	30	15	10	10	1.8-2Mt	3,600	3,500	3,400
Prolonged 2	Flows fully disrupted through April before gradually recovering	100	100	50	40	20	20	2.1-2.4Mt	3,750	3,800	3,650
Re-escalation 3	Talks collapse. Military action resumes/extends into Q3.	100	100	100	100	50	50	2.7-3.2Mt	4,000	4,250	3,850

Source: ING Research estimates

Prolonged disruption could push aluminium towards $4,000/t



Source: Refinitiv, ING Research

Note: Price forecasts are period averages

Base case: disruption largely priced

In our base case, disruption peaks early and gradually eases through the year, in line with our energy market outlook. While supply remains constrained, a combination of demand destruction, inventory drawdowns and increased Chinese supply is expected to limit further upside.

As a result, aluminium prices remain elevated but do not extend materially higher from current levels.

Risks skewed to the upside

If disruption persists or intensifies, supply recovery is likely to remain limited. Additional smelter curtailments could emerge, particularly as existing constraints on alumina supply deepen and logistics disruptions continue.

Under these conditions, aluminium prices could move above $4,000/t, although demand destruction would likely lead to some retracement in the second half of the year, even as the market remains structurally tight.

Structural deficit in place

The aluminium market has already shifted into a significant deficit following recent supply disruptions. While some recovery is expected in our base case, the balance remains tight, with limited downside and clear upside risks under prolonged or severe disruption scenarios.

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Dutch economy sees recent momentum beginning to fade

The Dutch economy started 2026 on a relatively strong footing, but recent developments have weakened the outlook somewhat. Economic momentum has eased, and with energy prices expected to remain elevated for longer, expect weaker growth in the quarters ahead

Growth is still to be expected for the Dutch economy, but we think the outlook appears slightly more subdued than it did at the start of the year

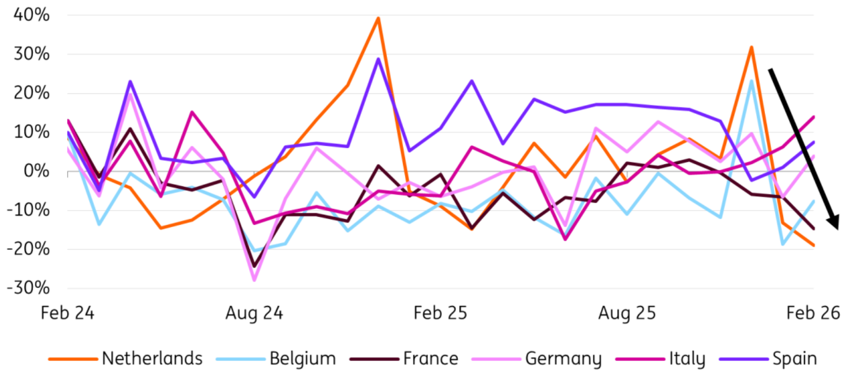
Momentum in the Dutch economy has started to fade

At the start of the year, the Dutch economy still showed solid underlying dynamics. Growth in the fourth quarter of 2025 surprised on the upside, supported by strong exports, robust public spending and households stepping up consumption further. This provided a favourable carry over into 2026. However, more recent data suggests that economic momentum weakened during the course of the first quarter.

After a strong January, industrial production, exports and retail sales declined month on month in February. Car registrations also fell sharply, reaching their lowest level since mid 2022. This largely reflects an expected correction after front loading at the end of last year, when higher taxation on leased electric vehicles prompted firms to bring purchases forward, which should weigh on investment figures.

Falling car registrations in the Netherlands after frontloading due to fiscal incentives

New passenger car registrations, year-on-year change



Source: ACEA via Macrobond, calculations ING Research

Falling cars registrations in the Netherlands after frontloading due to fiscal incentives

At the same time, consumer confidence dropped noticeably in March to its lowest level since September 2025 following the Iran war and as inflation expectations jumped up. Taken together, these developments point to a marked slowdown in quarterly growth, with the Dutch economy expanding only marginally at the start of 2026.

Higher energy prices for longer worsen the inflation outlook

The war in the Middle East is clearly the main drag on the economic outlook for the Netherlands. Continued strain on oil and gas markets has materially worsened our inflation expectations, and in our base scenario, we now assume that energy and fuel prices will remain high for at least a year. We are now assuming that Brent crude oil prices remain at least above $80 per barrel through the first quarter of 2026, while the TTF gas price stays at €40 per MWh or higher, compared with the maximum quarterly averages of $58 and €30 assumed in February. While this is not expected to trigger a repeat of the extreme inflation episode of 2022 23, it does imply a more persistent period of above normal inflation than previously anticipated. Before the Iran war, HICP consumer price inflation was set to slowly approach the 2% target during 2026, but it is now more likely to come in higher than in 2025, around 3.4%.

Dutch consumers are already facing higher fuel prices and rising transportation costs, while selling price expectations of firms have increased sharply to their highest level since April 2023. Over time, higher energy costs will feed through to other prices with varying lags – first into food, then into industrial goods, and later into services such as hospitality. As a result, inflation is now expected to remain elevated in both 2026 and 2027, eroding part of the purchasing power gains that households were set to enjoy earlier this year.

So far, no government support measures – neither for households nor for businesses – have been announced in response to high energy prices, even though various newspapers suggest that the

Dutch government is considering a mix of support measures.

Dutch households see incomes rise, but caution is rising too

Despite the deteriorating outlook, the starting position of Dutch households remains relatively strong. Wage growth is still historically quite high, pension benefits are increasing for many retirees as the transition to the new pension system continues, and unemployment remains low. These factors limit the immediate downside risks to consumption somewhat.

That said, higher energy prices and renewed geopolitical uncertainty are likely to reinforce precautionary behaviour. The Dutch household savings rate is already high by historical standards, partly reflecting lingering concerns about price levels after several years of above average inflation. With consumer confidence taking another hit, a larger share of income gains is now likely to be saved rather than spent, resulting in more muted consumption growth than previously expected. But for now, some consumption growth is still expected for 2026, nevertheless.

Sluggishness still visible in private investment

Business investment remains one of the weaker links in the Dutch growth outlook. Elevated energy costs and geopolitical tensions have increased uncertainty and raised the cost of doing business. At the same time, longstanding structural constraints continue to weigh on investment, including nitrogen emission restrictions, electricity grid congestion and a lack of international price competitiveness in energy intensive industries such as chemicals. Just before the start of the Iran war in Europe, the industrial cycle was starting to turn for the better, but it now remains to be seen how much of the global demand growth for industrial products really pushes through enough to encourage business investment to expand.

While housing remains a relatively bright spot in private investment, anecdotal evidence suggests that the latest energy shock can again trigger wait and see behaviour among firms. Public investment, by contrast, is increasing substantially, driven by infrastructure, housing related projects and defence spending, providing a buffer for overall growth.

Public spending remains the main growth pillar

In 2026, public spending is expected to be the primary driver of GDP growth in the Netherlands. Although growth in public consumption is set to slow compared to last year – reflecting earlier front loading of purchasing power measures and a reduction in central government employment – structural factors such as population ageing continue to push healthcare spending higher. Combined with rising public investment, this helps to stabilise growth in an otherwise more challenging environment. Comforting for this year’s growth is that any austerity measures the government aims to implement to make room for structurally higher defence spending, without worsening public finances, will not take effect before 2027.

More subdued outlook for the Dutch economy, but still growth expected

Overall, the Dutch economy is expected to slow from solid growth of 1.8% in 2025 to a more moderate pace of 1.3% in 2026. The economy remains resilient, supported by a strong labour market, ongoing wage growth and expanding public spending. However, the assumption of higher energy prices for longer materially worsens the outlook by pushing up inflation, dampening consumption growth and holding back investment.

As a highly open economy and a major logistics hub, the Netherlands also remains particularly exposed to global shocks. Downside risks have clearly increased, and economic growth is likely to remain subdued until energy market pressures ease more decisively.

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Disclaimer

The world waits for a climbdown

The war in the Middle East is forcing us to play a game we can't just walk away from. The longer it goes on, the worse things will become for consumers and companies. And central banks are facing their worst challenges. Carsten Brzeski is trying to make sense of it all

President Donald Trump descending Marine One last week

Our new base case scenario

It was 1983 when the movie WarGames taught a generation that the only winning move in a nuclear standoff is not to play. Forty-plus years later, economists find themselves in a similar bind, except we don’t have the luxury of walking away from the board. Wars have become our subject matter, and the 2020s have been unforgiving.

War is not a game. Lucky as I am to have only experienced the Cold War as a child, it is still almost unimaginable that we economists now have to become experts on war, or at least on the economic impact of conflict. The biggest lesson I've learnt is that predicting how military conflicts develop is close to impossible. And that's why, instead of having strong conviction calls, the best thing we can offer is scenario analysis. We're trying to understand the mechanisms and transmission channels at play, not to pretend we know when or how the war in the Middle East or Ukraine will end.

In our new base-case scenario, we assume negotiations between Iran and the United States will drag on, prompting renewed tensions and even limited, calibrated military actions. It will take another 2 to 4 weeks before a deal is reached, uncertainty begins to retreat, and the Strait of Hormuz reopens. But don't forget that once that does happen, it will take a while before traffic returns to pre-war levels; insurers and shipowners will be cautious, at first. In this scenario, we see oil prices gradually retreating to below 90 USD/b by the end of the year.

The 2022 playbook, with one big difference

It is obvious that with every passing day of a de facto blockade of the Strait of Hormuz, the risk of knock-on effects for the global economy grows. Consumers around the world are already feeling the sting of higher energy prices. Companies will be next, facing either new supply chain constraints or energy costs too high to make production viable, or both at once. It's the 2022 playbook, but at the risk of sounding like a broken record, one big difference between then and now is that four years ago, the global economy was emerging from lockdown with healthy balance sheets and an almost unstoppable consumer appetite to go out and spend - the perfect breeding ground for fast-spreading inflation.

This time, the inflationary impact of an energy price crisis is likely to be more muted, as consumers will be far more reluctant to open their wallets. You can already see that reluctance in reported willingness-to-spend indicators, which are currently well below 2022 levels. At the same time, the hit to economic activity could be sharper than in 2022: Asia will be harder hit by potential energy supply constraints, and public finances on both sides of the Atlantic are more stretched, leaving less room for fiscal stimulus. Watch out for companies in the middle of supply chains: they may end up squeezed the hardest.

One of the worst challenges for central banks

The six weeks of war in the Middle East have created a new stagflationary drag on the global economy. This wave will vary somewhat across regions and intensify the longer the conflict lasts, but it poses one of the worst challenges central banks can face. As in 2022, we will increasingly see the return of "team transitory" versus "team structural", the former arguing that monetary policy can do very little about a genuine supply-side shock, the latter pushing for pre-emptive rate hikes to prevent price-wage spirals from taking hold. Our view is that a transatlantic divide will open up again: a Fed joining "team transitory" and still cutting rates later this year, and an ECB half-heartedly siding with "team structural", at least one insurance hike, more symbolic than inflation-stopping. Don't forget that since 2022, the word "transitory" is as forbidden in Frankfurt as "Voldemort" is in the Harry Potter series.

But before Voldemort brings too much darkness, Europe has had some genuine good news. The election results in Hungary should end the country's role as the permanent - if occasionally necessary - thorn in the EU's side. Despite the daily struggles of both the German and French governments, Europe now has no excuse or scapegoat for failing to approve the agreed loans for Ukraine and push forward on the single market and common energy policy commitments made back in February.

I suspect this ING Monthly won't be the last one filed under "war and economics." There was a time when the biggest macro risk on an economist's desk was a central bank meeting. Those days feel like a different game entirely. And unlike Matthew Broderick, we can't just unplug the computer.

Our key calls

• In our new base case, we're assuming energy flows gradually recover through the second quarter, though remain below pre-war levels until at least year-end. That sees oil prices averaging 96 USD/bbl through the second quarter.

• We now expect a single ECB rate hike in June. Headline inflation at 4%, core inflation above 3% and a surge in survey-based inflation expectations would make inaction increasingly difficult to justify.

• We still expect two rate cuts later this year. Moderating shelter inflation should mitigate the energy-driven rise in inflation, shifting the focus to weaker consumer spending.

• In China, the CNY has stood out as a surprise winner in the currency space, despite the focus on China's oil imports. We are adjusting our USD/CNY fluctuation band forecast to 6.70-7.05, down from 6.85-7.2, and risks are now broadly balanced to this forecast.

• We're sticking to our call for no Bank of England rate hikes. A weak jobs market and the fact that policy is still restrictive reduce the need for action.

• Developed Asia – Taiwan, Japan, Korea – are better positioned to weather this crisis, helped by stronger energy buffers. Developing Asia looks more exposed.

• CEE central banks remain cautious after the Middle East energy shock, but rate hikes are not imminent. We think Poland and the Czech Republic will stay on hold as inflation risks remain manageable, while Hungary turns more hawkish amid weaker growth and delayed easing.

• Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. The backbone of our bearish USD view into year-end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front-end rates.

• We think US 10-year yields will rise back towards 4.5% in the second quarter.

What the Middle East war means for the global economy right now

The war in the Middle East is starting to have serious consequences for economies around the world. We're not yet predicting a recession, but it's going to hammer growth and increase inflation. Carsten Brzeski says accurately predicting what's going to happen next, however, is a fool's game

Watch video

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Energy market outlook hinges on the Middle East

The key factor for energy markets remains developments in the Middle East. The only way energy prices move lower is the resumption of flows through the Strait of Hormuz. In the absence of this, prices will only move higher

Dated Brent crude oil prices hit $144.46 a barrel recently, an all-time high

Oil futures don't fully reflect the scale of supply disruptions

Oil flows through the Strait of Hormuz remain largely cut off, which continues to tighten the oil market. However, despite this significant tightening, the futures market appears to be responding more to headlines over how the war may evolve, with hopes that we could see a resolution in the coming weeks. However, we just need to look at the physical market to get a better idea of the reality of the supply disruption. Dated Brent has traded as high as $144/bbl recently and is trading at around a $30/bbl premium to Brent futures. Clearly, the longer supply disruptions persist, the more likely we will see futures needing to catch up with the physical market.

We estimate that around 13m b/d of oil flows from the Persian Gulf are being disrupted due to the Strait of Hormuz blockade. This is after taking into account pipeline diversions, Iranian tankers still moving through the Strait (although this could change with the recent US blockade), as well as some other tankers transiting this key chokepoint. While releases of government stocks and the drawing down of floating storage have helped the market, the shortfall is still significant. Therefore, there is a need for demand destruction. We are already seeing signs of this, particularly in parts of Asia, with several governments in the region announcing measures to reduce energy consumption. Clearly, the longer this persists, the more demand destruction we will need to see, and this will have to occur across other regions as well. To drive further demand destruction, we will need to see higher oil prices.

For now, our base case is that energy flows will start to make a gradual recovery through the second quarter. However, flows will remain below pre-war levels until at least year-end. This would see Brent averaging $96/bbl over 2Q26 and $89/bbl over the full year 2026. A more extreme scenario would be where Persian Gulf flows remain mostly cut off, while escalation sees extensive infrastructure damage, and risks to Red Sea oil flows also grow, which could see Brent trading over $150/bbl.

The LNG market continues to tighten

The global LNG market also continues to tighten with developments in the Persian Gulf, and the market is set to see supply disruptions persist for longer, even if we were to get a quick resumption of vessel movements through the Strait of Hormuz. Firstly, restarting Qatari LNG capacity will take some time, while 17% of Qatari LNG capacity will also be offline for the foreseeable future after an Iranian attack. As a result, we are seeing the Asian and European gas market increasingly pricing in a tighter market until 2027. A delay in the start of new Qatari capacity only adds to a tighter-than-expected outlook.

There is little in the way of supply alternatives for the market to offset the sizeable volumes we are seeing disrupted from the Persian Gulf. The ramp-up of new US LNG capacity is simply not enough. Therefore, demand destruction will be key to balancing the gas market. This will likely be evident in the power sector, where we expect the industry to lean more on coal, particularly in Asia. But even in Europe, it makes more sense to burn coal rather than gas, even when taking into consideration carbon prices.

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Our latest views on the major central banks

Our take on what could be next for the Federal Reserve, the European Central Bank, the Bank of England and the Bank of Japan over the coming months

These are difficult times for global central banks

Federal Reserve

The Fed currently views the oil price surge as a supply shock that it can't do much about. So far, market and consumer inflation expectations are within tolerable ranges, and there is a sense that inflation is more likely to be transitory this time around than in 2022.

While inflation is likely to test 4%, the Fed's dual mandate is also an important consideration. Having failed to create jobs in meaningful numbers over the past 18 months, when growth was strong, the risk is that we see weaker US jobs figures on the back of geopolitical, financial-market and economic angst.

Higher energy costs are likely to be demand destructive, given that household spending power is already under pressure and confidence is at such low levels. Weaker consumer spending growth will help keep a lid on core inflation pressures, and if we do see Middle East tensions ease and oil prices drop back in the second half of 2026, sub-2% inflation is achievable in 2027. This will give the Fed scope for rate cuts late this year.

European Central Bank

The ECB's 'good place' is no more. Instead, the ECB is back in crisis mode, shifting its focus away from longer-term projections to actual developments, back to a "driving at sight" approach. Key variables to watch are actual inflation data, survey based longer term inflation expectations, and wage developments, all of which will be weighed against the risk of slowing economic activity and financial stability concerns.

We think the ECB – like us – is expecting an initial inflation wave, starting with gasoline prices, followed by knock-on effects on transportation costs, food prices and other industrial products. As long as this remains a single, time limited wave, there is no need for ECB rate hikes.

That said, three potential pain points remain for the ECB: a psychological one, i.e., headline inflation above 4%, reviving uncomfortable memories of 2022; an analytical one, with core inflation above 3%, signalling broader price pressures; and a credibility one – a surge in survey based inflation expectations, which would make inaction increasingly difficult to justify. The longer the blockade of the Strait of Hormuz lasts, the higher the likelihood that some of these pain points will be hit. This is why we now see the ECB announcing at least one insurance rate hike. Some would go as far as calling it a policy mistake.

Bank of England

In contrast to the ECB, we're sticking with our call for no Bank of England rate hikes this year. While we don't rule anything out – particularly if natural gas prices were to spike materially – there are good reasons to think that the UK won't experience a long-lasting episode of inflation, akin to what it saw post-2022. The jobs market is weak, fiscal policy is tight, and unlike the ECB, interest rates are still in restrictive territory. Bank of England Governor Andrew Bailey has also taken the rare step of pushing back against market rate hike pricing. That hints at a pause in April, though despite a unanimous on-hold decision in March, we think the committee remains heavily divided. We expect at least one vote for a hike at this month's meeting.

Bank of Japan

Recent Middle East developments pose downside risks to growth due to Japan's significant reliance on commodities from the region – yet recent data shows economic resilience. Companies are planning wage rises and expanded investment following strong profits, while real cash earnings gained in early 2026. Meanwhile, inflation expectations appeared to rise on the back of higher energy prices.

The Bank of Japan's March meeting minutes reveal a greater focus on inflation risk than on slower growth. The BoJ's new CPI metric, excluding institutional effects, remains above 2% (vs headline CPI well below 2% in February), reinforcing its view that underlying inflation remains firm. Additionally, revised potential GDP estimates showed that the economy exited its negative GDP gap a while ago, signalling growing demand-side pressure.

Considering these factors, our BoJ rate hike forecast now expects the first move in April rather than June, and a subsequent hike in October instead of January 2027. Governor Kazuo Ueda's recent dovish remarks dampened expectations for an April rate hike, but we believe he aimed to emphasise uncertainty rather than rule out the possibility of a hike. We expect firmer inflation and fiscal expansion to drive 10Y JGB yields to 3% by 2027.

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Webinar: Energy security under strain - why cutting Europe’s gas dependency won’t be easy

Join our live webinar this Friday 17 April as ING's Gerben Hieminga and Nadège Tillier discuss how the conflict in the Middle East is once again exposing Europe's gas dependence and the hard choices that lie ahead. Sign up here

Against a backdrop of renewed conflict in the Middle East, markets are again grappling with energy security risks. Iran remains in control of the Strait of Hormuz, and Europe, despite the lessons of 2022, still imports around 70% of its gas. This raises a pressing question: how exposed is Europe if this crisis continues, and what can realistically be done about it?

Join ING’s experts as they discuss:

- Europe's current level of dependence on imported gas
- The short term levers to ease supply risks
- Why longer term solutions – from renewables to nuclear – are harder than they look
- What business leaders should prioritise now

Speakers

Gerben Hieminga, Senior Sector Economist, Energy

Nadège Tillier, Head of Corporate Sector Strategy

Hosted by Rebecca Byrne, Deputy Global Head of Editorial

Details

Date: Friday, 17 April

Time: 1130 BST/1230 CEST

The webinar will last 30 minutes, including a Q&A session at the end. The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time. A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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US inflation much more likely to be transitory this time around

Gasoline price hikes prompted a jump in headline inflation, but core pressures were more benign than feared. We have much greater confidence that inflation will be transitory this time around, given the lack of demand impetus and weaker corporate pricing power versus 2022

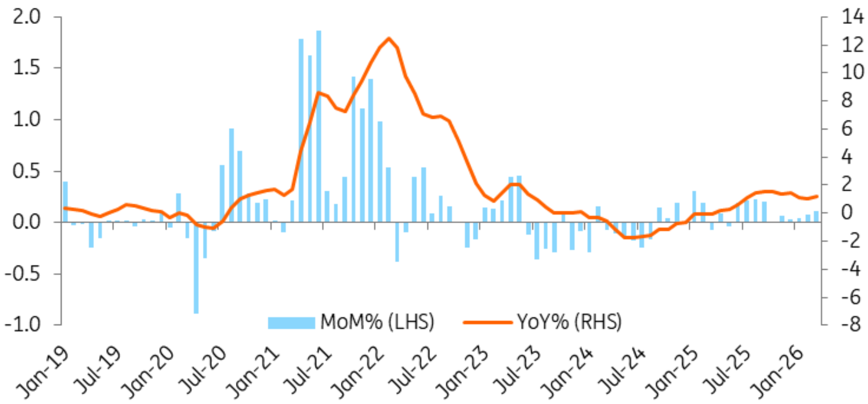
US CPI for March rose on higher gasoline prices, but we do think higher inflation will be transitory

Gasoline prompts an inflation jump, but core pressures were softer than feared

US headline CPI showed prices rising 0.9% month-on-month in March, as expected by the market, with a 21.2% MoM jump in gasoline prices contributing the bulk of upside impetus. Airline fares rose 2.7% MoM and apparel prices rose 1%. However, excluding food and energy, inflation was softer than feared, rising only 0.2% MoM/2.6% YoY versus expectations of a 0.3%/2.7% outcome. This was thanks largely to a 0.4% drop in used car prices, a 0.2% decline in medical care and a 0.4% decline in "other goods & services". Housing costs, the single biggest component by weight, rose 0.3%.

The economy has handled tariffs well, with limited goods price inflation. Core goods prices (ex-food and energy), remain benign, rising just 1.2% year-on-year. Instead, the tariff cost is largely being borne by the US corporate sector – next week's import prices will show another monthly rise, indicating foreign producers are not "paying" the tariffs.

Core goods price inflation



Source: Macrobond, ING

"Transitory" inflation far more likely this time

While the rise in energy costs will push the annual inflation rate even higher over the next few months, we don't expect a repeat of 2021/22 when the Fed called inflation pressures "transitory" only to then hike rates 525bp as inflation got within touching distance of 10%.

The supply shock this time around is arguably far smaller, focused in the US' case on gasoline and other fuel costs rather than *all goods* AND energy in the wake of pandemic-dislocated global supply chains. More importantly, there isn't the demand impetus this time around to generate broad and persistent inflation. 2022 saw 4.5mn jobs added, wage growth touching 6%, significant pent-up demand, record savings levels and stimulus checks. This time we have a much cooler jobs market with wage growth closer to 3%, weaker confidence and flat-lining real household disposable income.

Rising fuel costs likely to be demand destructive

Fuel price hikes are more likely to be demand destructive, via reduced discretionary spending power. This point was underlined by yesterday's personal income and spending report, which showed real household disposable incomes were flatlining before the Middle East conflict. We are likely to see this turning negative in coming months. Furthermore, if we see a successful outcome for the US-Iran negotiations and the flow of oil and gas starts to trickle out before coming more of a proper flow through the second half of the year, lower energy costs could possibly drive inflation below 2% at some point next year. As such, we still think interest rate cuts are more likely than hikes, especially given the Fed's dual mandate (price stability AND Maximum employment).

What would change our Fed view? If inflation expectations were to start rising and wage demands pick up, but right now both market and consumer long-term inflation expectations appear anchored and there continues to be more unemployed Americans than there are job vacancies – remember back in 2022 there were two job vacancies to every unemployed American. This highlights how the demand-supply balance has shifted within the jobs market and explains why we think second-round price effects will be far more muted this time relative to the post-pandemic inflation shock.

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Disclaimer

Watch: How the energy shock is hammering Europe's construction industry

Europe's construction industry finds itself at the mercy of the sharp rises in oil and gas prices we've seen since the start of the war in the Middle East. ING's Maurice van Sante says we're seeing the strongest price rise expectations since the 2022 energy crisis.

There's more on Maurice's findings here

How the energy shock is hammering the construction industry

Oil and gas prices may have come down since the apparent ceasefire in the Middle East, but still-elevated levels are really bad news for Europe's construction industry. Materials such as cement, concrete, and bricks are highly energy-intensive to produce. We're already seeing that pressure add up; nearly a fifth of European building manufacturers said last month they would increase their prices. That's the highest reading in three years. Some countries are more exposed than others, notably the Netherlands and Spain, where producers are more reliant on gas. And all this comes at a time when the construction industry was just seeing a turnaround in its fortunes.

[Watch video](#)

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How Europe can reduce reliance on imported gas and what it means for business leaders

As Europe confronts a new energy crisis, we explore key measures to strengthen energy security beyond simply lowering energy bills, and the potential implications for business leaders

Europe still imports about 70% of its gas, leaving it exposed to supply risks

The EU has several levers it can pull to reduce its exposure to volatile gas markets if the energy crisis were to intensify.

Lowering gas demand is possible, but it comes with significant challenges and sacrifices. For households, further reductions are limited as thermostats are already turned down in the spring and summer – meaning that actions like shorter, less frequent showers may be necessary. In industry, decreased gas consumption is often the result of closures and deindustrialisation, rather than improved efficiency. In the short term, maximising the output of existing **hydro, nuclear, and coal power** plants offers the most immediate relief for the power sector.

While **renewables** surged after the 2022 energy crisis, current grid constraints limit their ability to provide a rapid solution. Over the medium term, expanding **biogas** production presents meaningful potential. Although **offshore gas production** is naturally declining, there is still an opportunity to extend the use of remaining resources and tap into new fields. This renewed crisis is likely to accelerate efforts to revive the **nuclear** sector, but such projects require many years to come to fruition. Unlike the energy crisis of the 1970s, which led to France's nuclear expansion, today, renewables are set to become the foundation of Europe's future energy systems.

As a **business leader**, immediate actions such as reducing gas usage or temporarily substituting gas with coal can help manage short-term supply disruptions. However, these approaches are not without challenges, particularly the potential for higher carbon costs from a gas to coal switch. To address supply risks and cost pressures more sustainably, companies should focus on increasing their reliance on renewable energy, investing in solutions that enhance grid capacity, expanding biogas production and utilisation, and supporting domestic offshore gas projects. These strategies can provide structural resilience against volatile gas markets.

Gas demand down 20% since Russian gas crisis, but further cuts will be harder

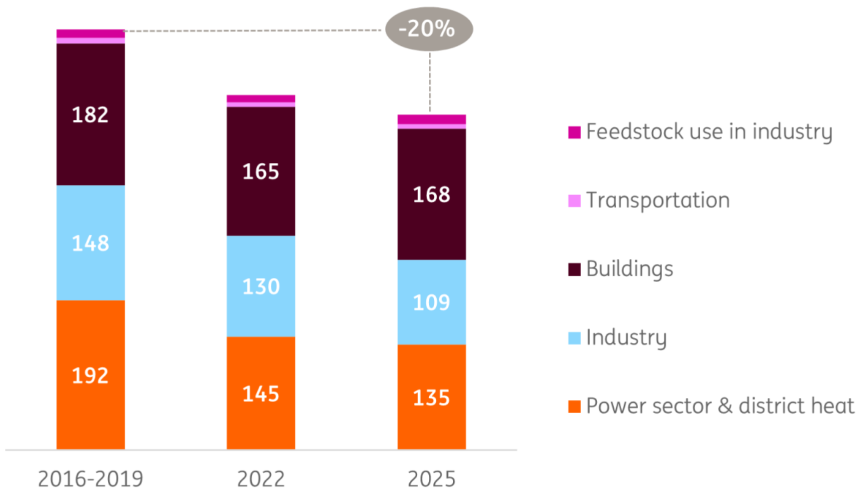
Since the 2022 energy crunch, European gas consumption has dropped from roughly 540 billion cubic meters (bcm) to 430 bcm, a notable reduction of 110 bcm, or 20%. Despite this progress, Europe still imports about 70% of its gas (just over 300 bcm annually), leaving it exposed to supply risks.

In the **building sector**, gas use has been structurally reduced by 8%, mainly due to conscious use (lower thermostats), better insulation, and increased adoption of heat pumps. The process of “greening” buildings is ongoing, but there are limited opportunities for rapid change.

Industry has seen gas consumption fall by 26%, but most of this has resulted from plant closures rather than efficiency gains. The chemical sector lost 37 million tons of gas and oil intensive refinery capacity due to shutdowns since 2022, while only seven megatons of new, “greener” capacity has been added, mostly in the battery, biobased, circular value chains and the modernisation of existing plants.

Gas use has been reduced by a fifth since the Russian energy crisis

Natural gas use in Europe (EU-27 + UK)



Source: ING Research based on Eurostat and Dukes

In the **power and district heating** sector, gas demand has dropped an impressive 30% compared to pre-crisis levels. Although electricity demand fell by just 3%, the power sector managed deeper gas reductions by shifting to renewables.

> The question now is how much further Europe can reduce its dependence on imported gas and how that might affect businesses. This is not just an issue of compensation for high gas prices. It is about immediate, short-term measures that can quickly make a difference. We also examine longer-term solutions that could substantially reduce Europe's reliance on imported gas but require policy changes and sustained investments.

Gas diversification helped in 2022, but is tougher in today's multipolar world

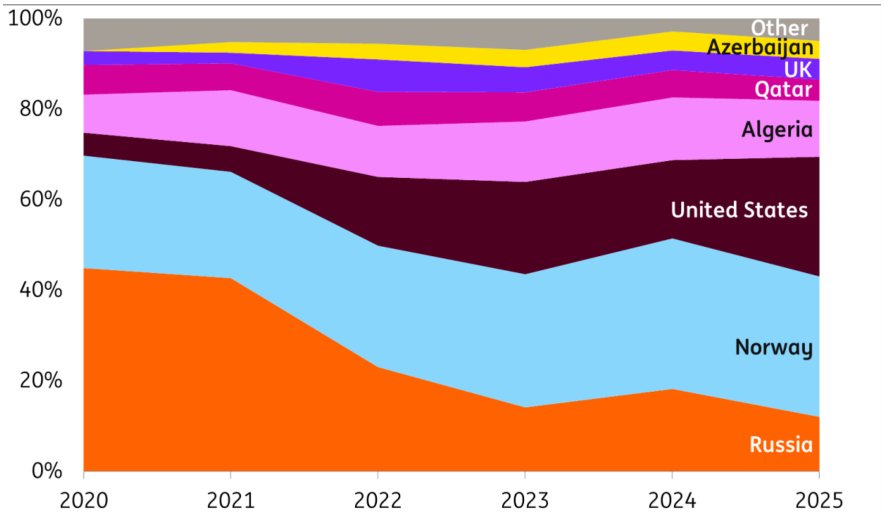
At the onset of the Russia-Ukraine conflict, 40% of EU natural gas came from Russia, but by the end of 2025, this fell to 13%. While some countries were less reliant, Germany sourced over 55% of its gas from Russia before 2022, dropping to zero pipeline imports in 2025.

Norway is now the EU's top gas supplier, followed by the US

Norway is now the EU's top supplier (31% in 2025, up from 25% in 2020), followed by increased US liquefied natural gas (LNG) (26%, up from 5%). Algeria increased its share to 12%. The UK and Qatar each provide nearly 5% of the EU's total gas imports, underscoring their continued but smaller role in the region's energy mix.

EU has shifted natural gas imports from Russia to Norway and the US

Gas imports to EU-27 per country of origin 2020-25 (based on volumes)



Source: ING Research based on Bruegel

Europe now relies on a wider range of suppliers, but paradoxically, the new geopolitical situation still leaves Europe vulnerable. If tensions with Russia escalate, Norwegian gas pipelines could face an increased risk of sabotage. And President Trump has used the threat of reduced LNG exports as leverage in trade negotiations, while exports from Azerbaijan and Algeria to the EU can only increase slightly and substantial growth would require new investments which impact gas flows only after 2030. Risk-free diversification is now less feasible than during the 2022 crisis.

Implications for business leaders

Most businesses rely on energy providers for their gas supply, but these providers have limited options to further diversify their procurement strategies. As a result, companies remain exposed to potential gas supply disruptions and the associated price volatility. To manage these risks, business leaders may employ hedging strategies, even when market prices are high, and often attempt to pass increased costs on to their customers.

Coal returns as an immediate but temporary solution

Coal remains the fastest option to replace natural gas in power generation, requiring no new capacity investments. After the Russian invasion of Ukraine, coal's share in Europe's power mix rose from 11% (2020) to 13% (2022).

Although some countries have closed their coal plants, significant capacity remains. In Germany, approximately 28 GW of coal-fired capacity is operational, including both hard coal and lignite units, with some scheduled to run beyond 2030. Poland retains around 27 GW of coal-fired power capacity and, as of mid-2025, has approved the extension of ageing 200 MW coal units for national security reasons. Meanwhile, the Netherlands is home to two of Europe's newest coal plants, with a combined capacity of 2.5 GW.

Until recently, gas-fired plants were more economically attractive than coal-fired plants, resulting in coal capacity being largely underutilised and readily available for rapid production increases. Given Europe's extensive and interconnected power grids, ramping up generation from coal plants could effectively reduce gas usage in power plants across the continent.

A common concern is the increase in carbon emissions. However, both coal and gas power plants operate under the EU Emissions Trading System (ETS), which sets a cap on total emissions regardless of the energy source. Switching to coal boosts demand for carbon allowances and, all else being equal, leads to higher prices for carbon allowance. Yet, in the event of a gas crisis, the additional carbon costs are typically much lower than the sharp rise in gas prices. This is already evident in current markets, where coal is increasingly used as a substitute for gas whenever gas prices surpass €45 per megawatt-hour.

Implications for business leaders

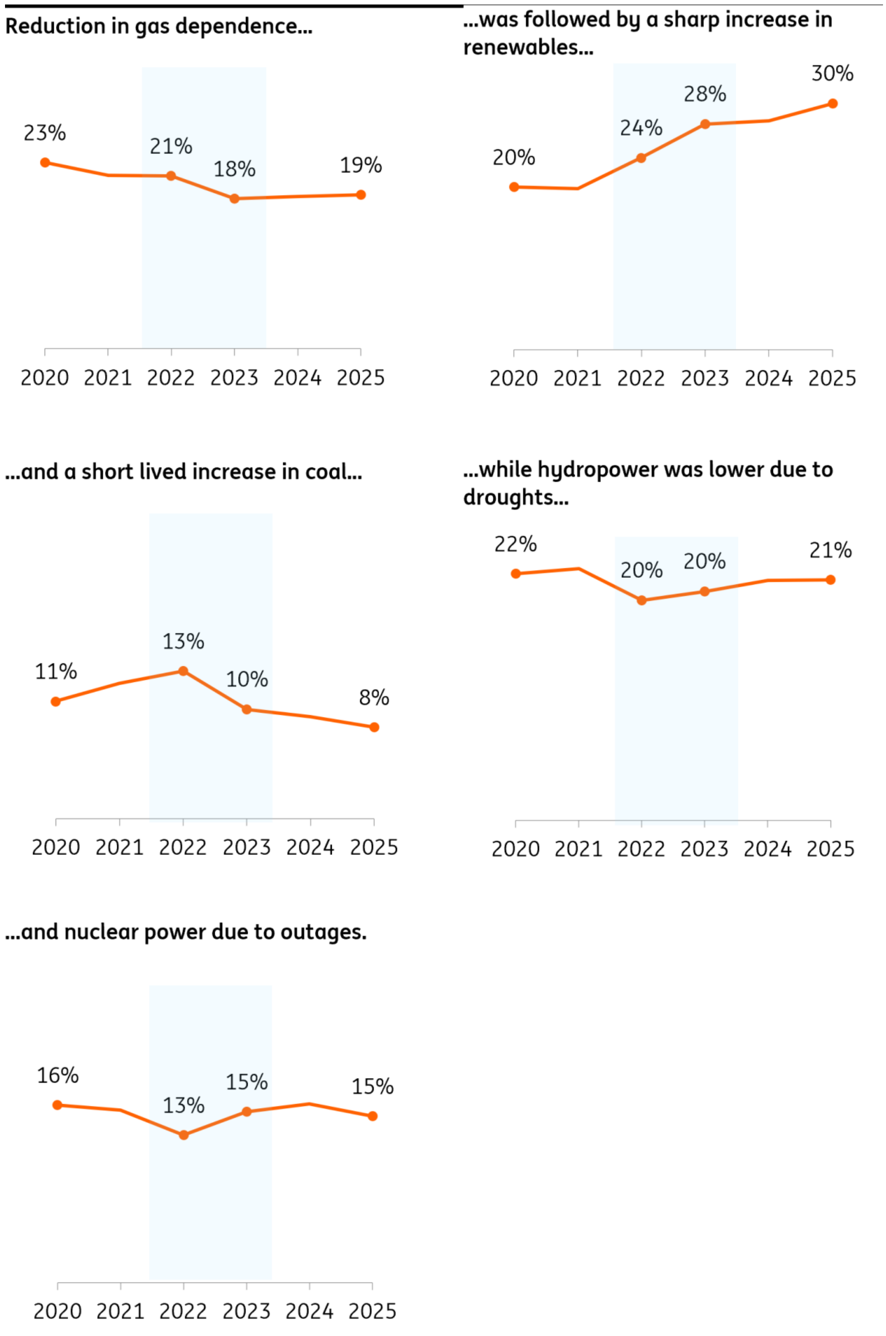
For business leaders, the implications are clear: while coal can provide a buffer against gas supply disruptions, it comes with the risk of increased carbon costs. The trajectory of ETS prices is influenced not only by greater coal usage but also by how much the gas crisis dampens economic activity, particularly in energy-intensive industries that drive demand for carbon allowances. When ETS prices rise, energy procurement costs increase, making exports to countries outside the EU less competitive. Consequently, investment strategies are shifting towards minimising both gas and carbon exposure – such as through energy efficiency initiatives and electrification – rather than depending on short-term fuel substitutions.

Renewables remain the long-term goal, but grid limits slow progress

During the 2022 energy crisis, lower gas use was largely offset by increased renewable generation while coal played a secondary role. This transition was further impacted by reduced output from hydropower and nuclear plants, which experienced operational disruptions from outages and severe droughts.

Within the power sector, renewable expansion replaced gas, with coal usage rising temporarily before resuming its decline

Share of energy source in European power generation mix (2020-2025)



Source: ING Research based on Bloomberg New Energy Finance

According to DNV's 2026 global energy survey, 71% of senior energy professionals believe that expanding renewables is key to energy security. However, further expansion of renewables is now considerably more challenging compared to 2022 due to grid congestion. For example, in the Netherlands, more than 4,000 companies, including developers of wind and solar projects, are waiting for a grid connection. In Poland, 205 GW of renewable energy and storage projects are queued for grid access.

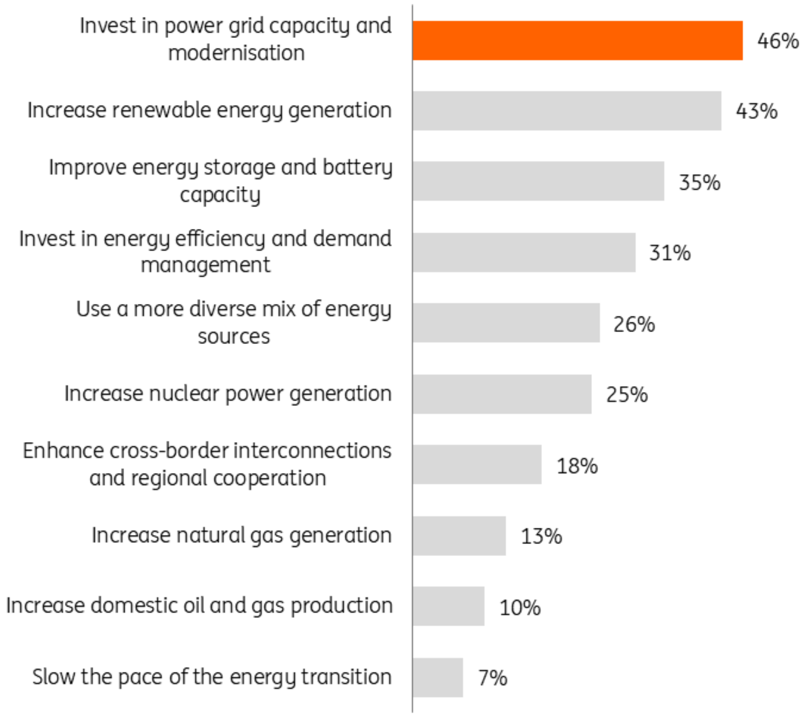
Grid congestion delays renewable expansion

Although speculative "ghost projects" inflate the numbers, real projects are affected. Since 1 January, Dutch grid operators now prioritise connections for grid-enhancing projects like batteries and demand flexibility, followed by critical needs (defence, hospitals, police, water), then societal services (housing, schools, waste, telecom). Businesses, including developers of renewables, are fast – often facing years-long delays.

So, while renewables are economically attractive, grid congestion delays expansion. Energy professionals now see grid investment as the most effective way to boost security.

What energy professionals think is the best way to improve energy security over the next three years

Percentage of respondents including the solution as one of their top three



Source: ING Research based on DNV's 2026 global energy survey

Implications for business leaders

For European businesses, renewables remain the cheapest and most credible route to reducing gas exposure and long term power costs. Politicians are also in favour of renewables – even more so in times of crisis – and they are likely to incentivise project developers to build renewables and businesses to use renewable electricity. However, for business leaders, the constraint is no longer renewable economics, but infrastructure. The speed at which they can grow renewables will increasingly depend on access to grid capacity and flexibility solutions, making investments in storage, demand response, on site generation and locations with available grid headroom a strategic factor – rather than energy prices alone.

Biogas: Europe's scalable, local, and circular gas solution

Biogas stands out as a medium- and long-term solution for Europe, supporting a resilient system while reducing Europe's dependence on imported gas.

Europe produces about 7 billion cubic meters (bcm) of biogas (1.6% of demand). Forecasts by DNV and BNEF suggest production could triple to over 20 bcm by 2030 and plateau at 30 bcm by 2035 – almost 8% of current demand. While this is substantial growth, it falls short of the EU's 35 bcm REPowerEU target for 2030 that was defined in the wake of the Russian gas crisis.

Even more significantly, biogas has the theoretical capacity to supply up to one-third of Europe's current gas demand. This would require tapping into all available sustainable feedstocks, including manure, agricultural residues, organic waste, and utilising advanced gasification technologies. However, realising this potential depends on strong policy support, rapid technological deployment, and effective management of biomass competition – conditions that are currently far from being met.

> *In Denmark, biogas now supplies 40% of the country's gas demand*

Denmark exemplifies biogas success, with 58 plants built in a decade now supplying 40% of national gas demand. With further policies, Denmark could reach 100% biomethane in a few years and even exceed domestic needs if it also pursues policies to reduce domestic gas demand. This would make Denmark's gas system net zero and locally circular, with renewables supplying electricity most of the time, and biogas providing backup at times when it is valued most. Biogas also helps agriculture by reducing manure and nitrogen emissions.

Biogas production costs currently range from €50 to €100 per megawatt-hour. Prior to the recent energy crisis, biogas was considered expensive, especially when compared to gas prices around €20 per megawatt-hour. This presents a difficult choice for both policymakers and business leaders: Should they prioritise the lowest-cost gas, risking increased exposure to volatile international markets, or pursue greater energy independence through locally produced, circular biogas at a higher cost? Historically, the preference has been for cheaper imported gas, but a renewed energy crisis could substantially strengthen the case for investing in biogas. Additionally, increased local biogas production means that Europe spends less on gas imports from countries outside the EU, keeping more of the economic benefits within its own borders.

Implications for business leaders

From a supply perspective, farmers and waste management companies have the ability to scale up biogas production, as long as the business case is attractive. Achieving this requires robust policy support and reliable buyers willing to pay a green premium for biogas. So, for business leaders on the offtake side, investing in biogas is not just about minimising costs; it's a strategic move to reduce exposure to volatile international energy markets and strengthen energy independence. Investing in higher priced, locally produced biogas can strengthen energy security, reduce carbon and import exposure, and keep value chains closer to home. As a result, competitiveness will increasingly depend on whether companies integrate energy resilience into investment decisions, rather than optimising solely for short term fuel costs.

Offshore gas: Europe's potential bridge as region shifts to low gas demand

Europe possesses significant offshore gas resources, with total reserves estimated at around 5,000 billion cubic meters (bcm), primarily located in Norwegian waters. Of this, approximately 2,000 bcm consists of proven (discovered) reserves, while the remaining 3,000 bcm represents potential reserves that could be uncovered through further exploration efforts.

Currently, production from offshore fields in the European Union, UK and Norway is set to fall from about 180 bcm per year today to about 30 bcm by mid-century. This is driven by the geological decline of existing production fields and the prevailing policy trajectory of one of 'managed decline'; gradually reducing production to align with net zero ambitions by 2050. For instance, in November 2025, the UK officially announced it would no longer grant new exploration licenses for offshore oil and gas exploration.

An alternative "maximum extraction and exploration" approach could slow this decline, making Europe less dependent on gas imports, while also reducing the carbon intensity of gas usage as North Sea gas emits up to six times less CO2 than imported LNG from the US and Russia.

It's important to recognise that boosting offshore gas production alone does not shield Europe from high gas prices. As long as the region remains dependent on imported gas, liquefied natural gas (LNG) will continue to dictate market prices. This is why the most effective long-term solution is a comprehensive electrification strategy powered by renewables and nuclear energy, which breaks the link between electricity costs and gas prices. In the interim, increasing offshore gas output can help ease supply challenges, but it does not resolve Europe's vulnerability to global price fluctuations.

Implications for business leaders

For business leaders, there are two key takeaways. Firstly, while Europe possesses substantial gas reserves, current policy decisions mean these resources remain largely untapped. From a commercial standpoint, this is understandably difficult to accept, but unless a prolonged and severe gas crisis occurs, a significant policy reversal is unlikely. Secondly, even if offshore and biogas production are expanded, Europe will continue to face high and unpredictable gas prices as long as it remains dependent on global LNG markets.

This highlights the critical need to reduce direct exposure to gas by enhancing energy efficiency, accelerating electrification, and securing long-term power purchase agreements for electricity generated from renewable or nuclear sources.

Nuclear power revival: Europe's ambitious long-term strategy

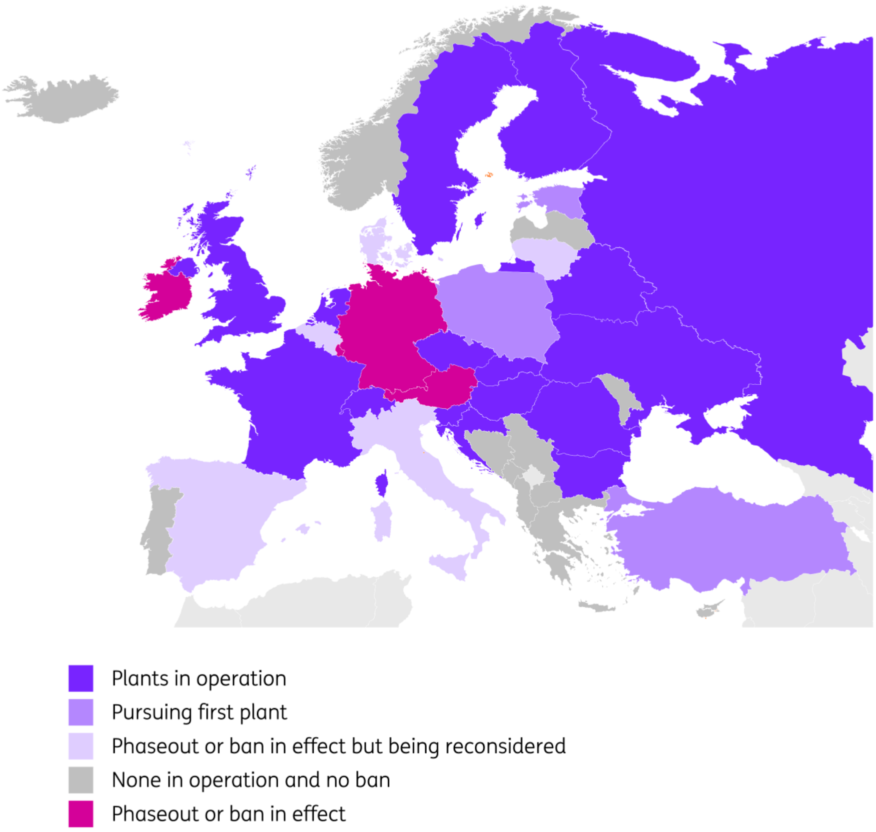
The 2022 energy crisis reignited interest in nuclear power throughout Europe, which could be further accelerated by today's crisis. Just like the 1973–74 oil crisis spurred France's large-scale nuclear buildout, which now supplies 70% of its electricity, ensuring reliability and low prices.

In March 2026, European Commission President Ursula von der Leyen publicly acknowledged that Europe's shift away from nuclear energy following the Fukushima disaster – most notably Germany's abrupt phase-out – was "a strategic mistake."

Countries like Spain, Italy, Belgium, Denmark, and Lithuania are reconsidering nuclear bans. The UK made a final investment decision for the 3.3 GW Sizewell plant in 2025 while Hungary and Slovakia are building 1.7 GW of new capacity. And, according to the World Nuclear Association, 27 additional nuclear power plants are currently in the planning stages across the EU, underscoring a strong and growing commitment to nuclear power in Europe's future energy landscape.

Europe's evolving approach to nuclear power: some countries construct their first nuclear plants, others actively reconsider bans

Status of nuclear power in European power markets



Source: ING Research based on Bloomberg New Energy Finance

Extending the lifecycle of existing and low-cost nuclear power plants is a no regret policy. However, it is likely to take many years before Europe can significantly expand its nuclear power capacity, due to two key challenges.

First, recent attempts to build new nuclear plants in Europe have proven complex and costly. Flagship projects such as Flamanville, Olkiluoto, and Hinkley Point C have faced significant delays and substantial cost overruns, highlighting the considerable hurdles that remain for large-scale nuclear expansion.

Second, while interest in Small Modular Reactors (SMRs) is growing, their deployment is still in the early stages. At present, only two SMRs are operational – one in Russia and one in China – with two additional units under construction in Canada and the US. Furthermore, Europe faces heightened geopolitical risks with SMRs because these reactors rely on advanced nuclear fuel, which is primarily sourced from Russia. This dependence could complicate efforts to adopt SMR technology and increase vulnerability to supply disruptions.

So, despite the nuclear power revival, it is a long-shot strategy for Europe.

Therefore, while Europe is experiencing renewed interest in nuclear power, expanding its nuclear capacity remains a challenging and uncertain long-term endeavour.

Implications for business leaders

The revival of nuclear power in Europe has very different implications depending on where companies sit in the value chain. For business leaders operating in the nuclear value chain, especially those focused on innovation, engineering, design, fuel services, and project development, the evolving policy landscape offers clear support and new opportunities. Conversely, for energy-intensive industries, the outlook is more measured. For most companies, nuclear power remains a high-risk, long-term strategy rather than a practical solution, particularly if it diverts attention from existing technologies that can more readily decrease reliance on natural gas.

As Europe faces the prospect of another energy crisis, the solution should extend beyond simply lowering energy bills for households and businesses. There is an urgent need for technologies and policies that can significantly decrease Europe's future dependence on natural gas. As the energy crisis continues, we can expect significant progress in addressing grid congestion to accelerate renewable integration, ramping up biogas production, and potentially utilising temporary measures such as coal substitution or offshore gas extraction.

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The US tariff shock in 2025 vs 2026 – same negative impact, different drivers

The US tariff shock of 2025 was historic, but its impact on Europe was partly cushioned as tariffs on rival suppliers rose, keeping Europe's US market position broadly intact. Even so, exports fell amid higher tariffs and uncertainty. With tariffs converging to 15% in 2026 for most partners, Europe's competitiveness is set to deteriorate

One year on from the historic US tariff rollout, the impact is becoming clear

The rollout of new US tariffs in 2025 triggered months of uncertainty and market volatility. One year on, their impact is becoming clearer. Although the tariff hike was historical, its direct effect on the European economy proved more muted than initially feared. This not only reflected exemptions, tariff front-loading and strong US demand for pharmaceutical imports (especially from Ireland), but also the fact that US tariffs on many competing suppliers also rose sharply in 2025, temporarily preserving Europe's competitive position on the US market. Still, higher tariffs, the stronger euro, and heightened uncertainty weighed visibly on EU US trade.

Looking ahead, the drivers of EU-US trade are shifting. The Turnberry deal locks in a 15% tariff rate for EU exports, while tariffs on competing countries are also set to converge towards 15% in 2026. Countries such as China (31.1% effective tariff rate in 2025), India (20.5%) and Indonesia (20.8%) will therefore face substantially lower tariff rates than in 2025, eroding the EU's relative position on the US market. As a result, the drag on EU exports is likely to persist, driven less by uncertainty and tariff asymmetries and more by a deterioration in relative competitiveness.

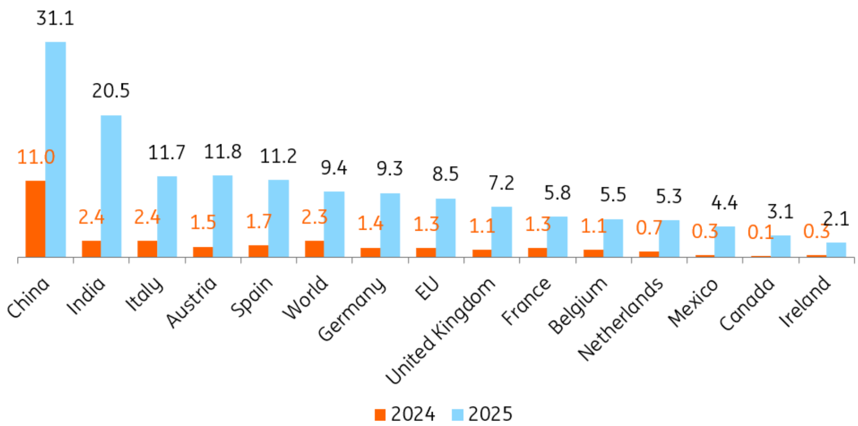
US tariffs jumped sharply in 2025, but less than feared

US tariffs increased sharply in 2025. The effective tariff rate rose by 8.1 percentage points, a historic jump, but one that ultimately proved less severe than the most adverse scenarios had anticipated. This more benign outcome partly reflected tariff stacking rules and sector specific exemptions, and partly the ability of exporters to adapt by rerouting trade flows or adjusting the composition of shipments to the US market.

For the EU, the effective tariff rate climbed to 8.5% in 2025, up by 7.2ppt compared with 2024. Despite the EU's common external tariff, effective tariff levels varied across countries due to different export structures and access to exemptions. As such, France, Belgium, and the Netherlands faced roughly half the effective tariff burden of countries such as Germany, Italy or Spain.

Large differences in effectively applied tariff rates, even within the European Union

US effective tariff rate, December values (%)



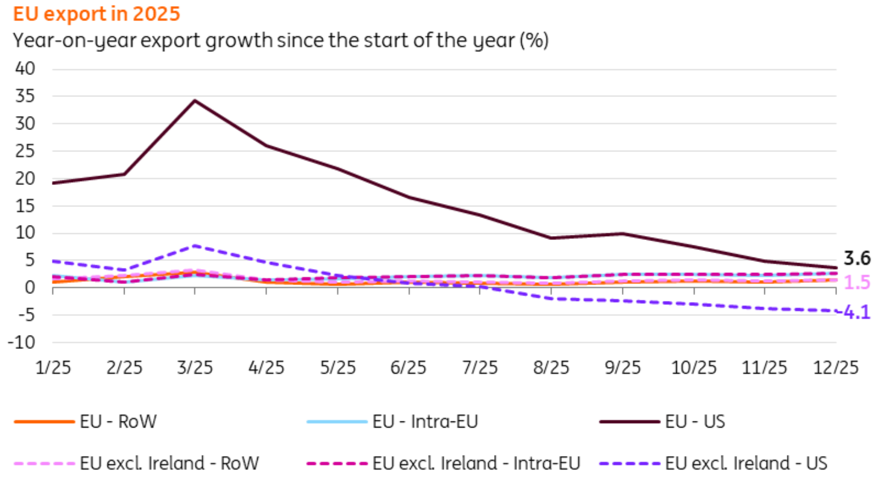
Source: US Census, ING Economic Research

EU-US exports in 2025: Tariff front-running, Irish outperformance and a sharp post-tariff decline

EU exports to the US followed a highly uneven pattern in 2025. Ahead of Liberation Day, exporters rushed shipments across the Atlantic in anticipation of higher tariffs, temporarily boosting exports by up to 35% year-on-year. This front loading effect was particularly pronounced in Ireland, where strong US demand for weight loss related pharmaceutical products largely offset the negative impact of tariffs throughout the year.

Once higher tariffs took effect, however, EU US trade weakened markedly. EU exports to the US, excluding Ireland, fell by 4.1% in 2025, despite exports to the rest of the world increasing by around 1.5% last year. This sharp difference suggests that the tariff shock had a strong negative impact on EU US trade, even if it was temporarily masked by front loading and Ireland specific factors, and broader macroeconomic developments like the strengthening of the euro.

EU exports to the US surged ahead of tariff hikes but fell markedly once higher tariffs took effect



Source: Eurostat Comext, ING Economic Research

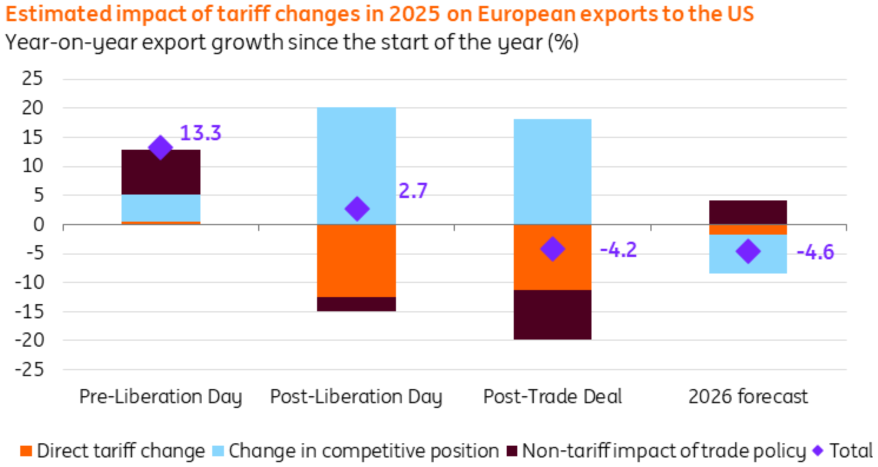
Tariff impact in 2025: Uncertainty amplifies the hit, competitiveness cushions the blow

Given these overlapping effects, what was the net impact of US tariffs on EU US trade in 2025? To answer this, we isolate and decompose the impact of US trade policy on EU trade into three channels using a regression framework.

1. The **direct tariff effect** was immediate and sizeable. Following Liberation Day, higher tariffs triggered a strong fall in demand, depressing EU US trade.
2. This negative impact was more than offset by the sharp increase in **tariffs faced by competing suppliers** on the US market, such as China and India. As a result, the EU effectively regained ground relative to the direct tariff shock.
3. Tariffs also affected trade through **non tariff channels**. Heightened uncertainty initially encouraged tariff frontrunning, but later led to postponed investment and exports, as well as lower trade volumes due to rising administrative and compliance burdens.

Taken together, the direct tariff impact, shifts in relative competitiveness and uncertainty related effects point to a net reduction of around 4.2% in EU US exports in 2025. This estimate captures the pure impact of tariffs, abstracting from broader macroeconomic conditions. Yet, it aligns remarkably closely with the observed decline in EU exports to the US once the exceptional surge in Irish exports is excluded.

US tariffs are estimated to reduce EUUS exports by more than 4% in both 2025 and 2026



Source: ING Economic Research Note: The estimated effects of tariff changes are derived from a gravity model of European exports at the sectoral level. The model uses effective US tariff rates and controls for general macroeconomic developments and other policy measures. The 2026 projection assumes the conclusion of a trade agreement between the EU and the US, leading to a slight increase in effectively paid tariffs, whose economic impact is assumed to strengthen gradually over time. At the same time, the projection assumes a decline in nontariff barriers due to greater policy certainty and the global statutory tariff levels converging towards 15%.

More certainty, higher tariffs ahead

Against this backdrop, the endorsement of the Turnberry deal by the European Parliament marks a clear turning point in EU US trade relations (even if national ratification still has to follow). By ruling out the near term use of tariff coercion instruments, the agreement brings greater clarity and predictability. Fixing tariffs at 15% should reduce trade policy uncertainty and ease non tariff frictions, lowering compliance costs for firms exporting to the United States.

That clarity, however, comes at a price. Locking in a 15% tariff likely implies a higher effective tariff rate than the 8.5% observed in 2025. As a consequence, the EU's relative competitive position is set to weaken in 2026 as Europe's competitors in the US markets, like China, India, and Indonesia, will benefit relatively more from the US Supreme Court's ruling and the rollback of IEEPA related tariffs.

Taken together, higher tariffs and a deteriorating relative competitive position will outweigh the benefits of increased certainty in 2026. Unlike in early 2025, exporters can no longer rely on tariff frontrunning to cushion the impact. Moreover, as firms gradually adjust and substitution possibilities increase, trade responses will intensify. As a result, EU export growth to the US is expected to slow further by around 4.6% in 2026 due to tariffs alone, abstracting from broader macroeconomic developments, even though the underlying drivers differ from those observed in 2025.

Overall, the tariff shock may have been less dramatic than initially feared based on headline numbers, but its economic damage is already evident and is likely to extend into 2026. Diversifying trade towards partners such as Mercosur and India is both a necessary and welcome policy response, but these markets still fall short of the depth of the US market. This reinforces the importance of strengthening the EU internal market as a key policy priority going forward.

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